

**Time:** 5 minutes**Outcome:** Trace Entry, Exit & Long-Run Equilibrium.**Difficulty:** ●●● Advanced

Entry, Exit & Long-Run Equilibrium



THE CORE IDEA

In monopolistic competition, profit attracts entry and losses encourage exit. Entry reduces demand for each existing firm until price equals average total cost (ATC), eliminating economic profit. With downward-sloping demand, price remains above marginal cost (MC), and output is below the quantity minimizing ATC: excess capacity.



HOW TO RECOGNIZE IT

- Short-run economic profit attracts entry, which reduces each incumbent firm's demand.
- Short-run losses cause exit, which raises the demand facing surviving firms.
- Long-run equilibrium occurs when the firm's demand is tangent to average total cost and economic profit is zero.
- Distinguish zero economic profit from zero accounting profit.

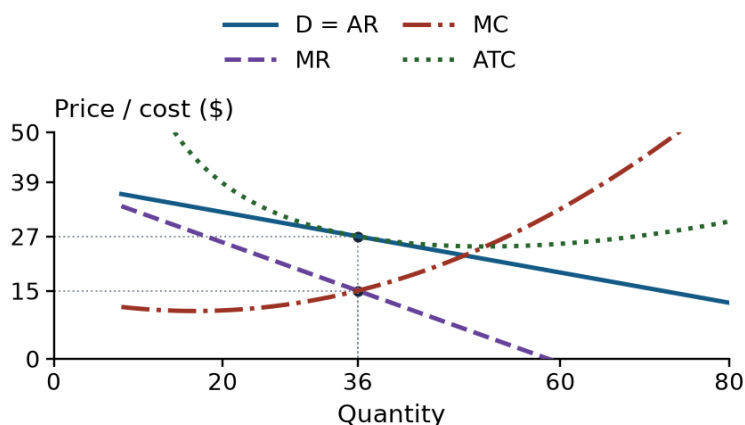


WATCH OUT

Zero economic profit includes the normal return to owners. It does not mean zero accounting profit, and it does not prove allocative or productive efficiency.



WORKED EXAMPLE: ENTRY, EXIT, AND LONG-RUN PROFIT



Short-run profit attracts competing varieties, reducing demand for each incumbent. Adjustment continues until demand is tangent to ATC at the chosen output. The graph shows that endpoint at 36 units and \$27, where revenue and cost both equal \$972. Tangency eliminates economic profit; it does not put output at minimum ATC.



CHECK YOURSELF

What does excess capacity measure?

**READY?**

Return to the game and master this concept.